NOMURA

Global Markets Research

8 October 2026

Zhongtian Technology 600522.SS 600522 CH

EQUITY: TECHNOLOGY

Diversified player in optical and energy sectors

Earnings upside likely from AI-driven optical fiber sector with accelerating backlog delivery for marine sector

Initiate at Buy with SOTP-based TP of CNY40, implying 31% upside

We believe Zhongtian Technology (ZTT) is well-positioned as a comprehensive solution provider in both optical communication and energy sectors. As one of China's leading producers of optical fiber and cables, we expect ZTT to benefit from rising data center demand, especially from AI scale-out networking application with elevated fiber prices. The energy-related business, including marine and power grid sectors, should continue to contribute resilient growth with progressive margin improvement with more overseas shipments. We forecast 138% y-y earnings growth to CNY6.9bn in 2026F, followed by 23% and 10% y-y growth in 2027F and 2028F, respectively. Our SOTP-based TP of CNY40 assumes 18x 2027F P/E for the optical segment and 12x for the energy segment, both in line with the industry-average trading multiples. Our TP implies 16x 2027F EPS of CNY2.49. The stock currently trades at 12x FY27F P/E.

Optical fiber demand driven by AI rollout with ASP hike

We expect global optical fiber demand to grow 40% y-y to ~800mn fkm in 2026F, followed by 19% y-y growth to 950mn fkm in 2027F. We see sustained momentum for optical fiber demand from scale-out networking, with incremental fiber consumption for scale-across and potential scale-up in the future. The supply shortage of optical fiber could continue into 2027F with slower-than-expected capacity expansion by tier 2 producers and new entrants, owing to lack of equipment supplies. We expect ZTT to deliver solid revenue growth with higher margins for its optical fiber segment in 2H26F, driven by product mix optimization.

Marine business likely to accelerate in 2H26F; resilient power grid demand

ZTT is a leading supplier of submarine cables in China (we estimate ~24% market share in terms of contract wins in 2024-26F) with cumulative order backlog of over CNY12bn by 1Q26. We expect improved revenue growth and margin recovery for the marine segment in 2H26F, supported by: 1) accelerating delivery of submarine cables, including two overseas projects in Germany and Poland; and 2) better revenue mix with more 500kV high-voltage cable shipments. For the power grid segment, we expect resilient growth driven by a sustainable domestic power grid investment over 2026-30F.

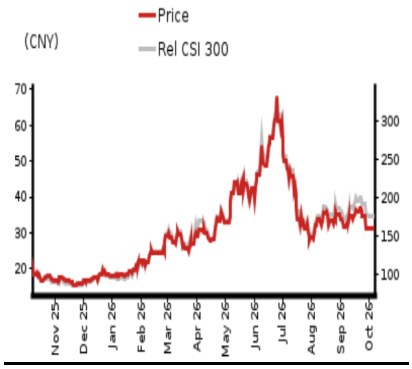
Investment risks: 1) lower-than-expected optical fiber prices; 2) slower-than-expected data center demand or delivery of MPO products; 3) delays in submarine cable project delivery; and 4) slower-than-expected growth in power grid investment.

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	52,500	0	63,973	0	72,888	0	79,487
Reported net profit (mn)	2,902	0	6,915	0	8,500	0	9,344
Normalised net profit (mn)	2,902	0	6,915	0	8,500	0	9,344
FD normalised EPS	85.04c		2.03		2.49		2.74
FD norm. EPS growth (%)	22.7		138.3		22.9		9.9
FD normalised P/E (x)	35.9	–	15.0	–	12.2	–	11.1
EV/EBITDA (x)	21.8	–	9.6	–	7.2	–	6.2
Price/book (x)	2.8	–	2.5	–	2.2	–	1.9
Dividend yield (%)	0.9	–	2.0	–	2.5	–	2.7
ROE (%)	8.0		17.3		18.8		18.2
Net debt/equity (%)	net cash		net cash		net cash		net cash

Source: Company data, Nomura estimates

Rating Starts at	**Buy**
Target price Starts at	**CNY 40.00**
Closing price 8 October 2026	**CNY 30.49**
Implied upside	**+31.2%**
Market Cap (USD mn)	15,527.3
ADT (USD mn)	1,179.5

Relative performance chart



Source: LSEG, Nomura

Research Analysts

China Technology

Ethan Zhang - NIHK
ethan.zhang@nomura.com
+852 2252 2157

Bing Duan - NIHK
bing.duan1@nomura.com
+852 2252 2141

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See Appendix A-1 for analyst certification, important disclosures and the status of non-US analysts.

Key data on Zhongtian Technology

Performance

(%)	1M	3M	12M		
Absolute (CNY)	-6.2	-32.0	61.2	M cap (USDmn)	15,527.3
Absolute (USD)	-6.1	-31.1	71.2	Free float (%)	42.0
Rel to CSI 300	-1.8	-23.7	67.3	3-mth ADT (USDmn)	1,179.5

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	48,055	52,500	63,973	72,888	79,487
Cost of goods sold	-41,139	-45,215	-50,754	-56,645	-61,910
Gross profit	6,916	7,285	13,218	16,244	17,577
SG&A	-4,409	-4,471	-5,321	-5,953	-6,333
Employee share expense					
Operating profit	2,506	2,813	7,897	10,291	11,244
EBITDA	3,812	4,139	9,186	11,509	12,322
Depreciation	-1,306	-1,325	-1,288	-1,218	-1,078
Amortisation					
EBIT	2,506	2,813	7,897	10,291	11,244
Net interest expense	-13	105	-160	-133	-76
Associates & JCEs					
Other income	720	484	590	308	336
Earnings before tax	3,213	3,403	8,327	10,465	11,504
Income tax	-384	-468	-1,269	-1,700	-1,869
Net profit after tax	2,829	2,935	7,058	8,765	9,635
Minority interests	9	-33	-143	-265	-291
Other items					
Preferred dividends					
Normalised NPAT	2,838	2,902	6,915	8,500	9,344
Extraordinary items					
Reported NPAT	2,838	2,902	6,915	8,500	9,344
Dividends	-1,018	-886	-2,112	-2,596	-2,854
Transfer to reserves	1,820	2,016	4,803	5,904	6,490
Valuations and ratios					
Reported P/E (x)	44.0	35.9	15.0	12.2	11.1
Normalised P/E (x)	44.0	35.9	15.0	12.2	11.1
FD normalised P/E (x)	44.0	35.9	15.0	12.2	11.1
Dividend yield (%)	1.0	0.9	2.0	2.5	2.7
Price/cashflow (x)	30.2	21.9	18.4	12.8	9.4
Price/book (x)	3.0	2.8	2.5	2.2	1.9
EV/EBITDA (x)	24.3	21.8	9.6	7.2	6.2
EV/EBIT (x)	36.9	32.1	11.1	8.1	6.8
Gross margin (%)	14.4	13.9	20.7	22.3	22.1
EBITDA margin (%)	7.9	7.9	14.4	15.8	15.5
EBIT margin (%)	5.2	5.4	12.3	14.1	14.1
Net margin (%)	5.9	5.5	10.8	11.7	11.8
Effective tax rate (%)	12.0	13.7	15.2	16.2	16.2
Dividend payout (%)	35.9	30.5	30.5	30.5	30.5
ROE (%)	43.2	8.0	17.3	18.8	18.2
ROA (pretax %)	6.2	6.6	17.2	21.0	21.9
Growth (%)					
Revenue	6.6	9.3	21.9	13.9	9.1
EBITDA	-7.8	8.6	121.9	25.3	7.1
Normalised EPS	-8.9	22.7	138.3	22.9	9.9
Normalised FDEPS	-8.9	22.7	138.3	22.9	9.9

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	3,812	4,139	9,186	11,509	12,322
Change in working capital	932	416	-2,769	-1,804	-1,195
Other operating cashflow	-614	197	-767	-1,576	
Cashflow from operations	4,130	4,751	5,650	8,128	11,128
Capital expenditure	-1,702	-1,625	-1,340	-798	
Free cashflow	2,429	3,127	4,310	7,331	11,128
Reduction in investments					
Net acquisitions					
Dec in other LT assets					
Inc in other LT liabilities					
Adjustments	819	-598	0	0	-1,770
CF after investing acts	3,247	2,529	4,310	7,331	9,358
Cash dividends	-1,116	-1,113	-2,112	-2,596	-2,854
Equity issue	20	66	0	0	0
Debt issue	-165	-607	0	0	0
Convertible debt issue					
Others	-470	83	0	0	0
CF from financial acts	-1,730	-1,571	-2,112	-2,596	-2,854
Net cashflow	1,518	958	2,198	4,734	6,504
Beginning cash	15,497	17,015	17,973	20,171	24,905
Ending cash	17,015	17,972	20,171	24,905	31,409
Ending net debt	-12,370	-14,757	-16,955	-21,689	-28,193

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	17,015	17,973	20,171	24,905	31,409
Marketable securities					
Accounts receivable	16,369	15,653	19,510	22,229	24,241
Inventories	5,719	7,844	7,612	8,496	9,285
Other current assets	2,405	2,753	2,753	2,753	2,753
Total current assets	41,508	44,222	50,046	58,383	67,689
LT investments					
Fixed assets	11,195	11,143	11,038	10,463	9,314
Goodwill	1,095	1,129	1,075	1,022	968
Other intangible assets	4,527	5,619	5,613	5,608	5,602
Other LT assets					
Total assets	58,324	62,113	67,772	75,475	83,572
Short-term debt	2,662	1,764	1,764	1,764	1,764
Accounts payable	12,969	14,639	15,495	17,294	18,901
Other current liabilities	3,958	4,462	4,462	4,462	4,462
Total current liabilities	19,590	20,865	21,721	23,519	25,127
Long-term debt	1,983	1,452	1,452	1,452	1,452
Convertible debt					
Other LT liabilities	937	1,352	1,352	1,352	1,352
Total liabilities	22,509	23,669	24,525	26,324	27,931
Minority interest	821	920	920	920	920
Preferred stock					
Common stock	34,994	37,524	42,327	48,231	54,721
Retained earnings					
Proposed dividends					
Other equity and reserves					
Total shareholders' equity	34,994	37,524	42,327	48,231	54,721
Total equity & liabilities	58,324	62,113	67,772	75,475	83,572
Liquidity (x)					
Current ratio	2.12	2.12	2.30	2.48	2.69
Interest cover	190.4	–	49.3	77.1	148.4
Leverage					
Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash
Per share					
Reported EPS (CNY)	69.29c	85.04c	2.03	2.49	2.74
Norm EPS (CNY)	69.29c	85.04c	2.03	2.49	2.74
FD norm EPS (CNY)	69.29c	85.04c	2.03	2.49	2.74
BVPS (CNY)	10.25	10.99	12.40	14.13	16.03
DPS (CNY)	0.30	0.26	0.62	0.76	0.84
Activity (days)					
Days receivable	117.3	111.3	100.3	104.5	107.0
Days inventory	48.0	54.7	55.6	51.9	52.6
Days payable	106.5	111.4	108.4	105.6	107.0
Cash cycle	58.8	54.6	47.5	50.8	52.6

Source: Company data, Nomura estimates

Company profile

Jiangsu Zhongtian Technology (ZTT) is an integrated manufacturer and solution provider of communication and energy infrastructures. Its product portfolio covers optical communication network (i.e. optical preforms, fibers, cables, and interconnect products), marine systems (i.e. submarine power cables and engineering services), power grid transmission equipment, and selected new energy products.

Valuation Methodology

Our TP of CNY40.00 is based on a SOTP valuation, assuming 18x 2027F P/E for optical communications segment and 12x 2027F P/E for energy network segment (power grid, marine system and new energy). Our TP implies a 16x FY27F EPS of CNY2.49, which is in line with the company's earnings CAGR of 16% over 2026-28F. The benchmark index is CSI300.

Risks that may impede the achievement of the target price

Downside risks include: (1) lower-than-expected optical fiber prices; (2) slower-than-expected data center demands or delivery of MPO products; (3) delays in submarine cable project delivery; and (4) slower-than-expected growth in power grid investment.

ESG

ZTT supplies communications and electricity infrastructure that supports digitalisation, renewable-energy integration and grid development. Its products include optical communication systems, grid equipment, submarine cables for offshore wind and energy-storage products.

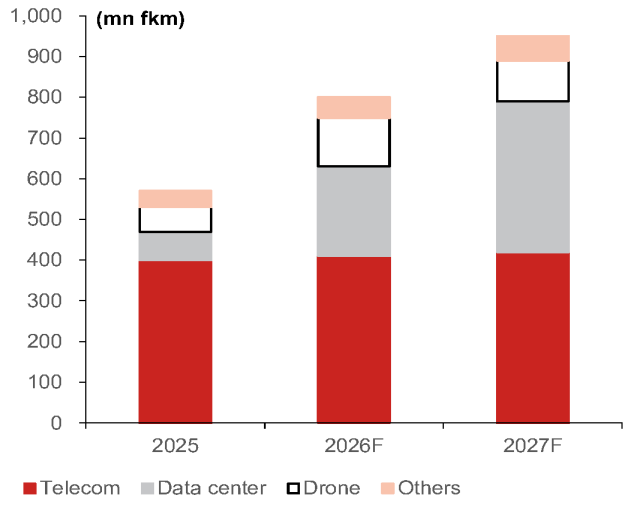
Investment thesis

Optical fiber: surging data center demand with improving business mix

We expect global optical fiber demand to grow 40% y-y to ~800mn fkm in 2026F, mainly driven by AI data center demand, especially the “scale-out” networking demand. We expect demand momentum to continue into 2027F with 19% y-y growth to 950mn fkm, as a result of incremental demands from data center interconnection (DCI) or “scale-across” networking, followed by long-term growth supported by emerging optical fiber demands for “scale-up” and specialty products such as PMF and HCF.

We believe near-term capacity expansion for optical fiber preforms continues to be led by China’s top four producers, including YOFC (6869 HK, Buy), ZTT, HTGD (600487 CH, Not rated) and FiberHome (600498 CH, Not rated), which remains disciplined, while the planned projects by second-tier players and new entrants may not materialize until late 2027F owing to a lack of manufacturing equipment. We expect demand growth to largely offset the newly built supplies with a continued supply shortage in 2026-27F, to support the price level for optical fibers.

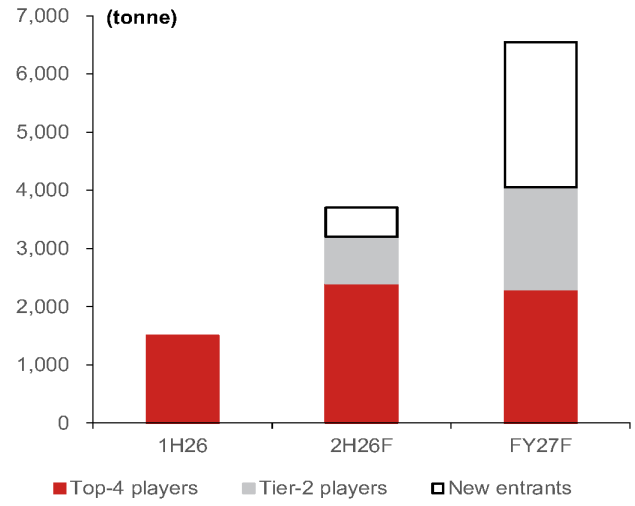
Fig. 1: Global optical fiber demand forecasts



Source: CRU, Nomura estimates

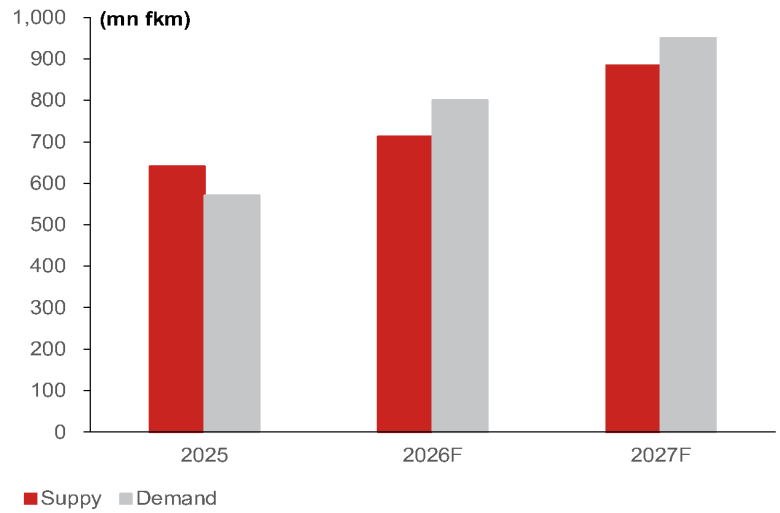
Fig. 2: Optical fiber preform capacity expansion in China

Based on period-end nameplate capacity



Source: CRU, Nomura estimates

Fig. 3: Global optical fiber supply vs demand



Source: CRU, Nomura estimates

ZTT won the largest wallet share (19.4%) in China Mobile's (941 HK, Buy) 2025-26 optical cable tender, which capped the profitability for its optical communication segment in 1H26 as a result of long-term contract delivery to CM at a pre-locked price with limited exposure to tap the rising data center demands with surging market prices. **We think ZTT could see a substantial jump in its optical fiber margins in 2H26F owing to the expiration of the CM contract in 2Q26**

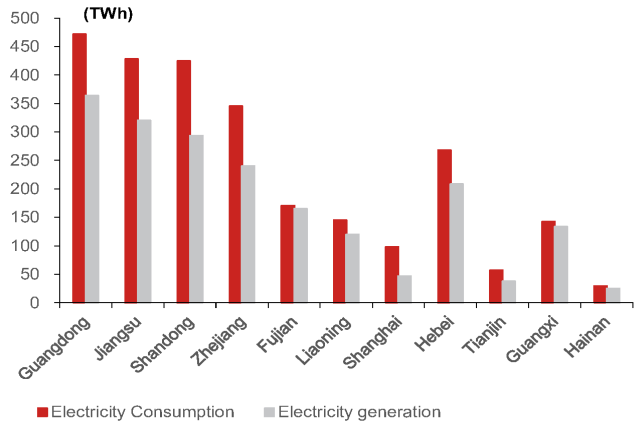
On the other hand, we expect China's leading optical fiber players to progressively penetrate downstream markets (e.g., data center cabling and connectivity products), which provides higher content value compared to traditional optical cable products. **In June 2026, ZTT announced that it had secured a CNY1.52bn contract, to provide data center MPO products to a domestic Internet company, scheduled to be delivered within one year.** We also believe domestic players are capable of entering into the supply chains of global CSPs, considering the robust demand and slower capacity expansion by global leaders like Corning (GLW US, not rated). **We estimate 20-30% sales contribution from overseas customers for ZTT's optical fiber and cable segment in 2027F.**

Marine system: accelerating delivery with contribution from overseas projects

We expect continued incentives for major costal provinces in China to accelerate development of offshore wind power, owing to: 1) China's top-down commitment to achieve carbon-peaking by 2030; 2) power demand gaps due to high population density and concentrated industrial activities; and 3) preferred renewable sources of offshore wind and distributed solar as a result of limited land resources. We expect offshore wind to see incremental demand with more policy support over China's 15th Five-Year-Plan (FYP) period (2026-2030). According to the NDRC's 15th FYP Plan for renewable energy development (*link*), China aims to commence construction of 100GW offshore wind projects over the 15th FYP period, with cumulative offshore wind power installation reaching over 100GW by 2030E (end-2025: 47GW). We expect annualized offshore wind installation of 15GW over 2026-30F, almost doubling from that of 7.6GW over 2021-25.

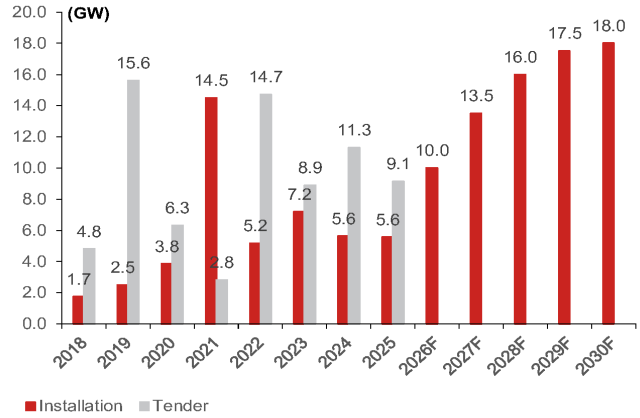
We expect submarine cable providers to become the key beneficiary of offshore wind development. We expect higher penetration of deep sea (water depth of over 50m) and far sea (offshore distance of over 50km) projects, leading to more cable consumption and requirement for high-end products (i.e., high voltage, direct current) to reduce transmission loss, which carries higher ASPs, in our view.

Fig. 4: Electricity consumption vs generation for China's coastal provinces (1H26)



Source: NBS, CEC, Nomura research

Fig. 5: We forecast annualized offshore wind installation of 15GW over China's 15th FYP period

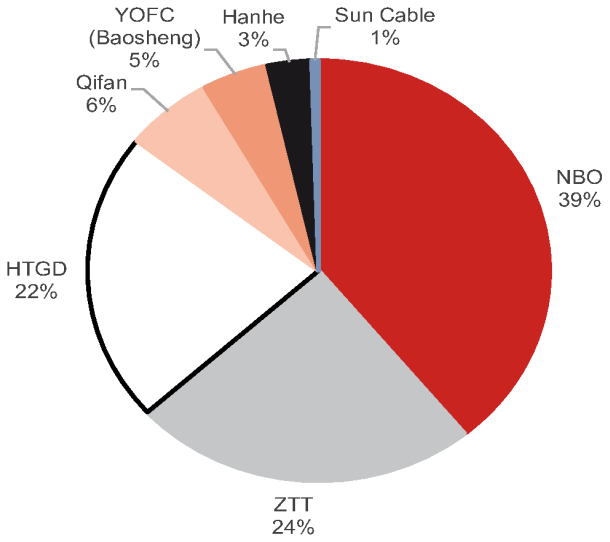


Source: CWEA, Goldwind, Nomura estimates

Based on the public tender announcements for offshore wind submarine cables in China, we estimate ZTT's market share at 24% over the period of 2024 to Aug-2026, ranking as the second-largest domestic player after NBO. For the high-end submarine cables (i.e., 500kV), we estimate ZTT has a higher market share of 33% as a result of elevated entry barriers. ZTT has the capability of manufacturing ±500kV flexible DC submarine cable, and achieved product

delivery in April 2026 (Yangjiang Sanshan Island Offshore Wind Project). By end-1Q26, ZTT had accumulated an order backlog for its marine business of more than CNY12bn. In addition, **we expect an accelerating delivery in 2H26F, especially regarding two overseas projects (in Germany and Poland), to support ZTT's revenue growth and margin recovery.**

Fig. 6: China's offshore wind submarine cable market share



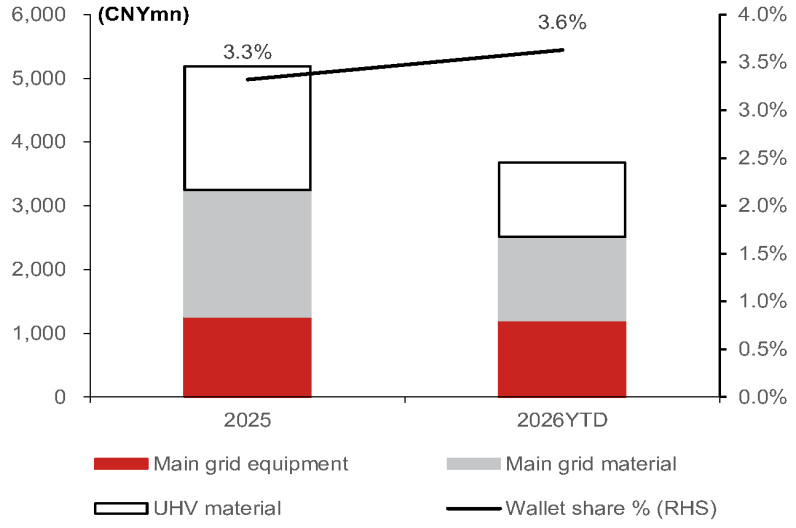
Note: Based on public tenders for offshore wind submarine cable announced in 2024-26
Source: Nomura research

Power grid: sustainable grid investment over 15th FYP

We expect a sustainable power grid investment in China owing to the government's continued commitment towards carbon neutrality. We expect a total domestic grid investment of CNY5tn during the 15th Five-Year-Plan (FYP) period (2026-30), including ~CNY4tn by State Grid (SGCC, unlisted), ~40% above that in 14th FYP (2021-2025), and ~CNY1tn from China Southern Grid (CSG, unlisted). We believe the upcoming grid investment will be directed with more focus on key applications, such as ultra-high-voltage (UHV), secondary equipment and smart distribution grid, where we expect above-average growth over the period.

ZTT posted an impressive five-year revenue CAGR of 17% for its power grid revenue over 2020-25F, with order backlog of more than16bn as of 1Q26. ZTT has become a major wire and cable provider to both SGCC and CSG. In 2025, the company secured 4.6% wallet share in SGCC's main grid material tenders and 9.2% in UHV material tenders. Based on our assumptions, we believe ZTT is well-positioned to benefit from the resilient domestic gird investment trend.

Fig. 7: ZTT – wallet share in SGCC equipment and material tenders



Source: SGCC, Nomura research

Investment risks

- **Optical fiber pricing and capacity ramp-up:** Our earnings outlook for the optical communications segment rests on contract repricing and an increased contribution from higher-specification fiber products. Faster expansion of competitors' qualified capacity or weaker demand could accelerate price normalization, reducing realized selling prices and gross margins. Separately, delays in ZTT's commissioning, production ramp-up or customer qualification could constrain shipment growth.
- **Power grid and marine system order intake and delivery:** Despite solid order backlog for ZTT's energy business, continued order replenishment and timely conversion of existing orders in hand are required to sustain revenue growth. Higher grid investment may not translate into more order wins, while tender delays, weaker bidding outcomes or more aggressive pricing could impact revenue and margins. Delays in offshore wind project schedules may result in deferred revenue recognition for ZTT.
- **Data center demands and order execution:** ZTT's growth in revenue from a data center segment depends on customer qualification, timely execution of awarded contracts and repeated orders. Slower data center deployment or changes in customer procure schedules could delay shipments and revenue recognition. Weaker demand, delayed qualification or more intense pricing competition could therefore limit the contribution from MPO and other data center products.

Catalysts

- Price movement for optical fiber products, including G.652.D, G.657.A1 and G.657.A2;
- New contract winning for optical fiber, cables (including specialty products such as HCF and PMF), and MPO products;
- New offshore wind projects and submarine cable tenders in China and overseas;
- Domestic power grid cable (including UHV transmission cable) tenders
- Progress of optical fiber preform expansion projects.

Optical fiber and cable market review

An optical fiber is a thin and flexible strand of glass or plastic that transmits light from one end to the other, and is widely used in fiber-optic communication for data transmission over longer distances and at higher bandwidths. Optical fibers are normally manufactured by: 1) preparation of the preform, which is a large-diameter rod made by chemical vapour deposition methods; 2) fiber drawing, where the preform is heated to a high temperature and pulled into thin fibers in the drawing tower; 3) fiber coating with a protective layer of material; and 4) testing and assembly into optical cables by wrapping the fibers in a jacket layer.

Optical fibers are categorized by mode (light propagation path) and industry standards (ITU-T/IEC specifications). Single-mode fiber (SMF) currently accounts for the majority of global fiber deployments where the light travels in a single path at a given wavelength.

- **G.652.D** fibers are recognized as the most commonly used SMF, which is mainly adopted for long-haul and access networks in the telecom sector.
- **G.657.A1 and G.657.A2** are bend-insensitive SMF designed to fulfill demands of high-density cabling in tight spaces, and now widely used in modern data centers. G.657.A2 supports lower bending radius (down to 7.5mm) than G.657.A1 (down to 10mm), and both A1 and A2 fibers are fully backward compatible with G.652.D fibers.
- **G.654.E** fibers are SMF optimized for high-speed and long-distance terrestrial backbone networks with large effective area and reduced signal loss.
- **Multi-mode fibers (MMF)** have a large core diameter that allows multiple light rays to propagate simultaneously, and is mainly used for short-range and high-bandwidth data transmission in local networks.
- **Polarization-maintaining fiber (PMF)** are specialty fibers designed to preserve the polarization state of linearly polarized light as it travels through the core. PMF is essential to the emerging co-packaged optics (CPO) and near-packaged optics (NPO) technology to route the light from external laser sources (ELS) to optical engines.
- **Hollow-core fiber (HCF)** is an emerging fiber technology that guides light through an air-filled center instead of solid glass, which allows ultra-low latency and minimal signal loss. HCF can be used to connect high-performance computing clusters and AI workloads with significantly faster real-time signal propagation.

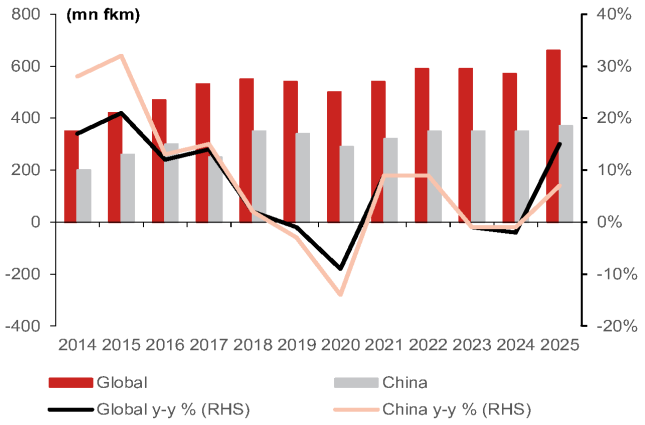
Fig. 8: Comparison of different optical fiber types

Category	Single-mode fiber (SMF)				Multimode fiber (MMF)			Specialty fiber	
Sub-type	G.652.D	G.657.A1	G.657.A2	G.654.E	OM3	OM4	OM5	Polarization-Maintaining Fiber (PMF)	Hollow-Core Fiber (HCF)
Core Size / Mode Field Diameter	MFD ~9.2 µm @1310 nm	MFD ~9.2 µm @1310 nm	MFD ~8.6–9.2 µm @1310 nm	MFD ~12 µm @1550 nm (Aeff ~125 µm²)	Core 50 µm / clad 125 µm	Core 50 µm / clad 125 µm	Core 50 µm / clad 125 µm	MFD ~10 µm @1550 nm (design-dependent)	Hollow core, tens of µm (design-dependent)
Attenuation	~0.19 dB/km @1550 nm	~0.19 dB/km @1550 nm	~0.19–0.20 dB/km @1550 nm	~0.16–0.17 dB/km @1550 nm	~2.3 dB/km @850 nm; ~0.6 dB/km @1300 nm			~0.5–1.0 dB/km @1550 nm (vendor-dependent)	~0.1 dB/km @1550 nm
Effective Modal Bandwidth (EMB)	N/A				2000 MHz·km @850 nm	4700 MHz·km @850 nm	4700 MHz·km @850 nm; 2470 MHz·km @953 nm	N/A	N/A
Bend Radius (Macro)	30 mm	10 mm	7.5 mm	30 mm	Standard grade not bend-optimized; bend-insensitive variants available			Design-dependent	Bend-sensitive
Water Peak	Suppressed (low water peak)	Suppressed	Suppressed	Not specified (C+L operation)	N/A			Design-dependent	N/A
Chromatic Dispersion @1550 nm	~17 ps/nm·km	~17 ps/nm·km	~17 ps/nm·km	~21 ps/nm·km	N/A			Design-dependent	Low (design-dependent)
Polarization Mode Dispersion (PMD)	<0.1 ps/√km	<0.1 ps/√km	<0.1 ps/√km	<0.1 ps/√km	N/A			N/A	N/A
Operating Wavelength	1260–1625 nm	1260–1625 nm	1260–1625 nm	1530–1625 nm (C+L)	850 / 1300 nm	850 / 1300 nm	850-953 nm (SWDM)	Design-specific (e.g., 980 / 1310 / 1550 nm)	Broadband low-loss window (design-dependent)
Key Feature	Baseline SMF	Moderate bend resistance	High bend resistance	Large effective area + ultra-low loss	Laser-optimized MMF	Higher-bandwidth laser-optimized MMF	Wideband MMF for SWDM	Polarization retention	Air-guided; ~30% lower latency vs. silica
Cost	Low	Low to medium	Medium	Medium to high	Medium	Medium to high	High	High	Very high
Primary Applications									
Telecom / Enterprise	• Long-haul / metro • DWDM / CWDM • FTTx feeder	• FTTH drop • Indoor cabling • 5G fronthaul	• FTTH (tight spaces) • DC high-density cabling • 5G small cells	• Terrestrial long-haul backbone	• Enterprise LAN / campus	• Enterprise LAN / campus	• Enterprise LAN / campus	• Coherent transceiver internals, laser pigtails • Fiber sensing, gyroscopes • Quantum communication	
Data center	• Intra-DC leaf-spine / campus (DR/FR/LR optics) • DCI (400ZR/800ZR, ZR+coherent)	• Structured cabling	• High-density or high-fiber-count structured cabling	• Long-distance DCI	• Server-ToR short reach (10G-100G)	• Server-ToR short reach (100G-800G SR)	• SWDM / BiDi short reach	• Optical transceivers (laser to modulator pigtails) • CPO/NPO switch (external laser to optical engine)	• Low-latency DCI
Others			• Fiber-guided drones • Tethered UAVs					• Fiber-optic gyroscope (FOG) • Fiber sensing • Quantum communication	• High-power delivery • Gas sensing

Source: Nomura research

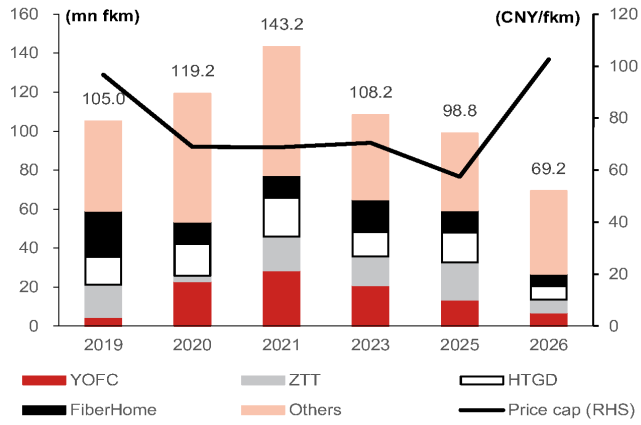
The optical fiber and cable industry experienced headwinds in 2023-24, with global fiber shipments down 1-2% y-y per annum. This has been largely attributed to moderating demand from the telecom sector, especially in China, with 5G-related demand having peaked in 2022 and market saturation of fiber-to-the-home (FTTH) access for household broadband network, in our view. Telecom operators used to be the major demand source of optical cables in China, especially China Mobile (CM, 941 HK, Buy), as the largest service provider in both mobile and broadband access networks. Meanwhile, the annual tendered amount by CM shrank to 99mn fkm in 2025 from 143mn fkm in 2021.

Fig. 9: Global/China optical fiber shipment trends



Source: CRU, Nomura research

Fig. 10: Overview of China Mobile optical cable tenders



Source: China Mobile, Nomura research

We expect the global AI data center rollout to become the major demand driver for the optical fiber market over 2026-30F. Data center demands for optical fiber includes:

- Scale-out network (rack to rack): High-speed and low-latency connections between GPU racks to expand the size of computing power by increasing the number of nodes. Single-mode G.657.A1/A2 fibers are widely used for scale-out networking and polarization-maintaining fiber (PMF) will be used in next-generation NPO/CPO technology.
- Scale-across network (DC to DC): Evolution of data center interconnect (DCI) technology that connects computing resources distributed across multiple DCs through high-speed optical networks to form a unified computing pool for supporting larger-scale AI workloads. Traditional G.652.D and G.657.A1 can be used for campus-level DCI, while regional scale-across network requires low-loss transmission with G.654.E fiber or emerging technology of hollow-core fiber (HCF) to allow extremely low latency.
- Scale-up network (GPU to GPU): Going forward, optical fibers may partially replace copper links in the scale-up network to allow low-loss and low-latency transmissions between GPUs.

Optical fiber connectors are used to link optical fibers and enable quick connection and disconnection. Traditional lucent connectors (LC) support simplex or duplex connections, while multi-fiber push-on (MPO) connectors are required for high-density cabling with multi-core fibers for data center and AI work loads. MPO connectors incorporate multiple optical fibers using a single rectangular ferrule and a simple push-on insertion design, which supports high-speed, high-density network connections with better space and cable management efficiency. We believe MPO has become the mainstream cabling solution for “scale-out” networking in modern AI data centers, with continued increase in the number of fiber cores (from 12-core to 16/24/32-core with bandwidth upgrade), supporting demand growth for optical fibers.

Emerging fiber technologies (e.g., PMF and HCF) are still in the commercial trial stage, while we have noted small-scale contracts awarded to leading players. For example, YOFC was selected as the sole supplier for China Telecom’s (728 HK, Neutral) framework purchase agreement for HCF and G.654.E fibers. Yangtze Optical Electronic (YOEC, 688143 CH, Not rated) announced a CNY147mn contract for PMF from a

customer.

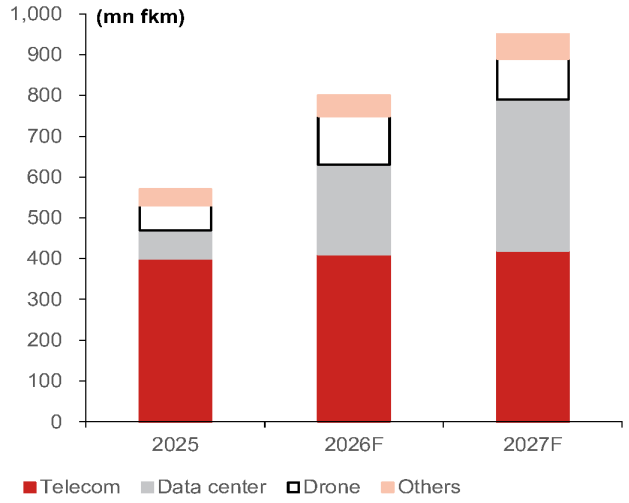
Fig. 11: Development of HCF by major optical fiber players

Company	Hollow-core fiber technology progress
Corning	Announced cooperation with Microsoft and Heraeus to jointly promote large-scale production of hollow-core fibers in Sep 25
Prysmian	A long-term cooperation agreement has been achieved with Relativity Network, on massive production hollow-core fibers
YOFC	Independently developed world-leading hollow-core fiber technology (HollowBand), achieving continuous transmission of over 20km per fiber with signal attenuation of below 0.05dB/km.
ZTT	Achieved data center application of O-band anti-resonant hollow-core fiber with Huawei in 2025. Delivered commercial trial products to multiple telecom operators.
FiberHome	The company developed single-bridge structure hollow-core optical fiber in 2024, and with relevant patent granted in Apr 26

Source: Company data, Nomura research

We expect global optical fiber demands to grow 40% y-y to 800mn fkm in 2026F, backed by fast-growing data center demands (~28% of total), followed by another 19% y-y demand growth to 950mn fkm in 2027F. We believe global optical fiber output is still constrained by preform capacity, which may experience slower-than-expected expansion. Despite an increasing number of newly announced preform capacity expansion plans in China, we believe the near-term incremental production will be contributed by the top-tier players (i.e., YOFC, HTGD, ZTT and FiberHome), while the second-tier players and new entrants could see more challenges in expansion without in-house capability of preform manufacturing equipment. We estimate an optical fiber supply shortage of 87/66mn fkm for 2026/27F.

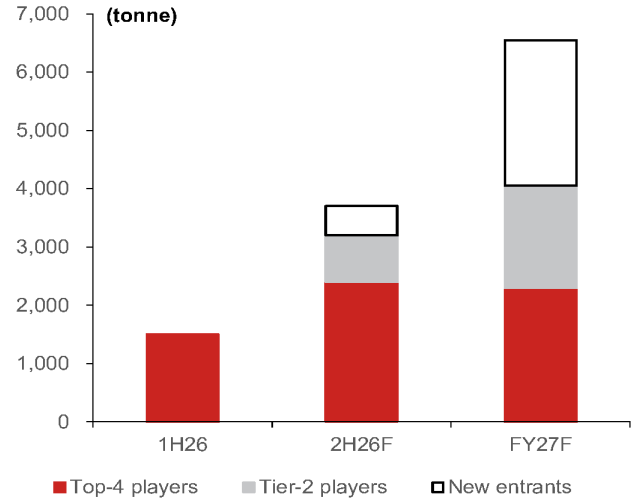
Fig. 12: Global optical fiber demand forecasts



Source: CRU, Nomura estimates

Fig. 13: Optical fiber preform capacity expansion in China

Based on period-end nameplate capacity



Source: CRU, Nomura estimates

Fig. 14: Global optical fiber supply-demand forecast

	2025	2026F	2027F
China capacity (tonne)	14,700	20,100	26,900
Non-China capacity (tonne)	9,000	9,000	9,500
Total optical preform capacity (tonne)	**23,700**	**29,100**	**36,400**
Net addition		**5,400**	**7,300**
Effective optical preform capacity (tonne)	23,700	26,400	32,750
Utilization rate %	90%	90%	90%
Optical preform output (tonne)	21,330	23,760	29,475
Preform to fiber ratio ('000 fkm/tonne)	30	30	30
Optical fiber supply (mn fkm)	**640**	**713**	**884**
Optical fiber demand (mn fkm)	**570**	**800**	**950**
Supply/demand gap	***70***	***(87)***	***(66)***

Source: CRU, Company data, Nomura estimates

Fig. 15: Summary of optical fiber preform capacity expansion in China

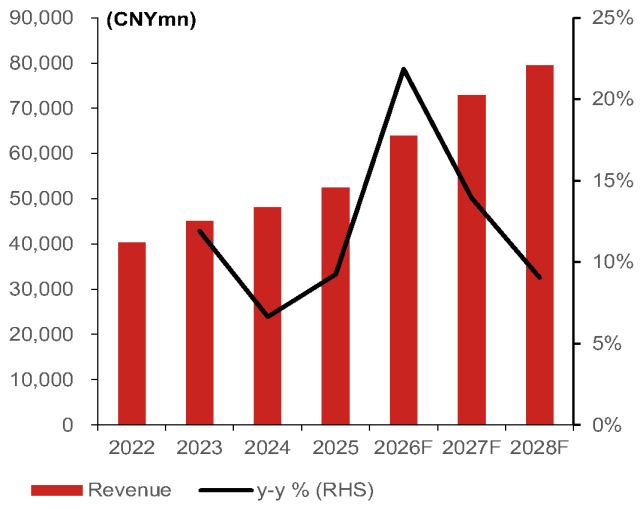
	Capacity by 1H26 (tpa)	Capacity expansion plan
YOFC	4,500	
HTGD	3,600	Announced a private placement plan in Sep 26 to fund capacity expansion, including 800t preform capacity in second phase of Inner Mongolia facility (expected by end-2026) and 1200tpa high-end optical quartz materials in the mid term.
ZTT	3,200	Planned addition of 800-1000t preform capacity in existing capacity, expected in late 2026 or 1H27
FiberHome	2,200	Announced a private placement plan in Jul 26 to fund capacity expansion, including 600t preform capacity
Futong (suspended)	1,500	Lingyi Itech announced to participate in the restructuring of Futong Jiashan facility in Jul 26, which was later withdrawn in Aug 26
Tongding	650	Announced in May 26 to invest CNY800mn in preform capacity of 600tpa and fiber capacity of 20mn fkm in Shaoguan, Guandong
Etern	450	Planned additional preform capacity of 500t in 2026
SDG Information	600	Preform capacity of 1200t under construction, with first phase of 400t expected by end 2026
Hangzhou Cable	300	Announced a private placement plan in Jul 26 to fund capacity expansion, including 1200t preform and high-purity quartz materials
Trigiant Group	400	Acquisition of Qinghai Zhongli in Sep 26. Zhongli currently has preform capacity of 400t (phase 1+2) and Trigiant commited to commence production of phase 3 (600t) within 6 months
Far East	300	Announced a private placement plan in Apr 26 to fund perform capacity expansion of 1800t.
Hoshine	0	Planned optical fiber preform capacity of 3200t in two phases
Han's Laser	0	Announced in Jun 26 to build optical fiber plant in Zhangjiagang with preform capacity of 2000t and fiber capacity of 60mn fkm, scheduled in two phases with construction period of first phase (800t preform + 24mn fkm fiber) within 12 months.

Source: Company data, Nomura research

Financial analysis

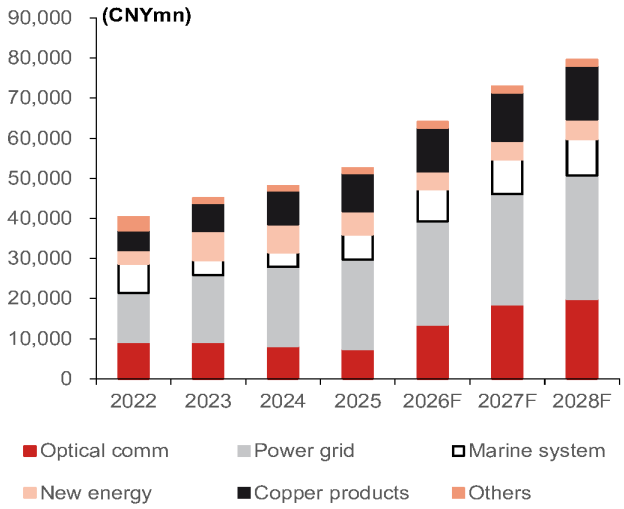
ZTT recorded a revenue CAGR of 9% over 2022-25, reaching total revenue of CNY52.5bn in 2025. The power grid segment is the largest revenue contributor, accounting for 42% of total revenue in 2025, followed by copper products (18%), optical communication (14%), marine system (12%) and new energy (11%). By the end of March 2026, ZTT accumulated total order backlog of CNY308.8bn for its energy business, including CNY16.2bn for power grid, CNY12.1bn for marine system and CNY2.5bn for new energy. Overseas revenue grew 22% y-y to CNY9.5bn in 2025, representing 18% of total. We expect the company to deliver an accelerating revenue CAGR of 15% over 2025-28F, mainly driven by expansion of optical communication segment, which is estimated at a CAGR of 39% and contribute 25% of total revenue by 2028F.

Fig. 16: ZTT - revenue growth trend



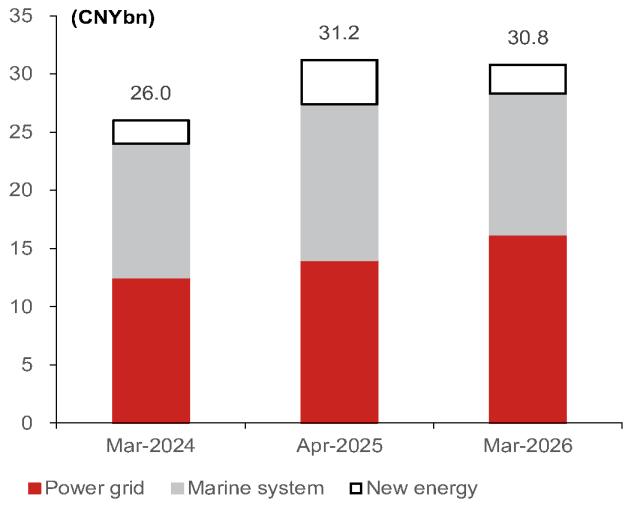
Source: Company data, Nomura estimates

Fig. 17: ZTT - revenue by segment



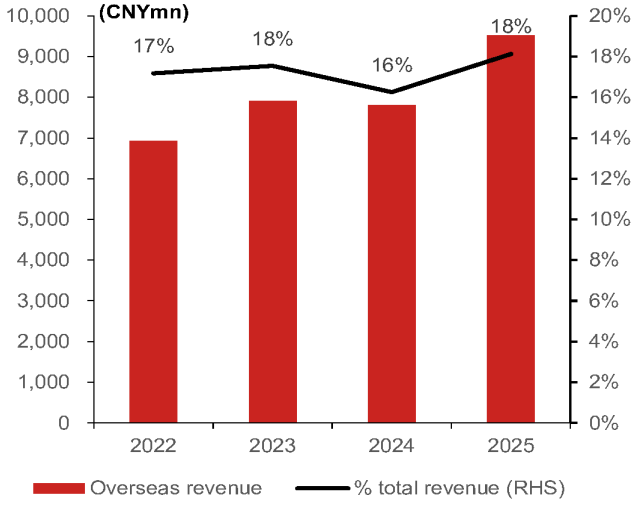
Source: Company data, Nomura estimates

Fig. 18: ZTT - order backlog for energy business



Source: Company data, Nomura research

Fig. 19: ZTT - overseas revenue trend

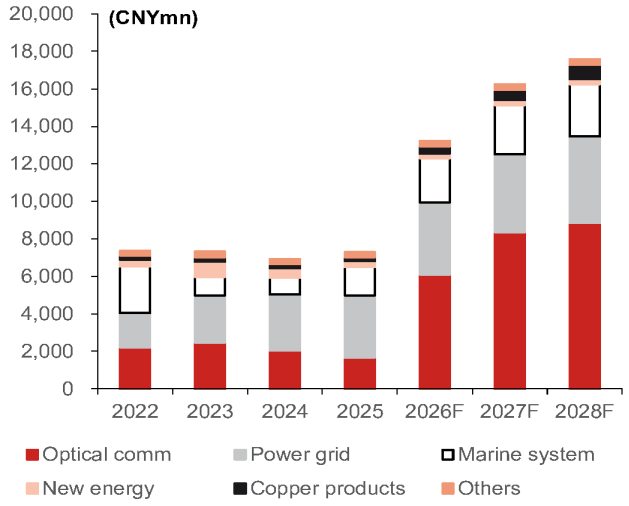


Source: Company data, Nomura research

Marine system and optical communications segments carried higher GPMs compared to the company's blended GPM level in 2025, and we expect the company to see a further jump in the GPMs of its optical communication segment from 22.6% in 2025 to 45.1% in 2026F, powered by surging ASPs for optical fibers and cables since late 2025. We also forecast a progressive margin expansion for GPM of ZTT's marine system segment, from

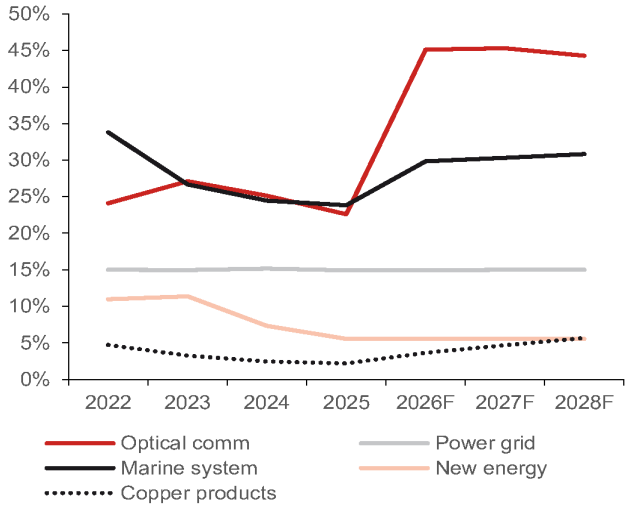
23.8% in 2025 to 30.8% in 2028F, owing to better revenue mix with more contribution from high-voltage submarine cable products and overseas projects.

Fig. 20: ZTT - GP breakdown by segment



Source: Company data, Nomura estimates

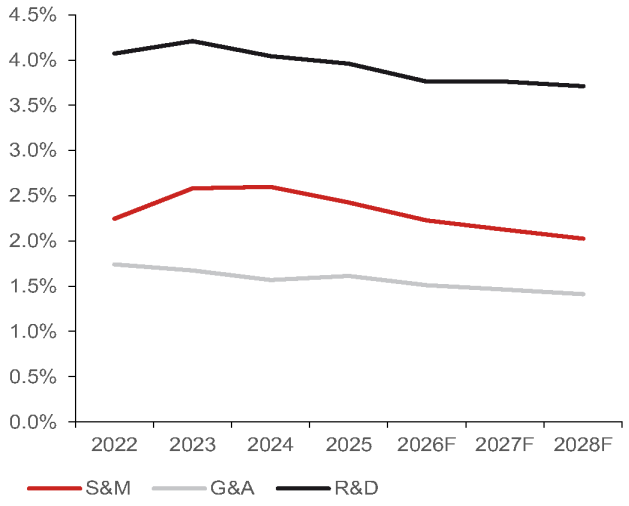
Fig. 21: ZTT - GPM by segment



Source: Company data, Nomura estimates

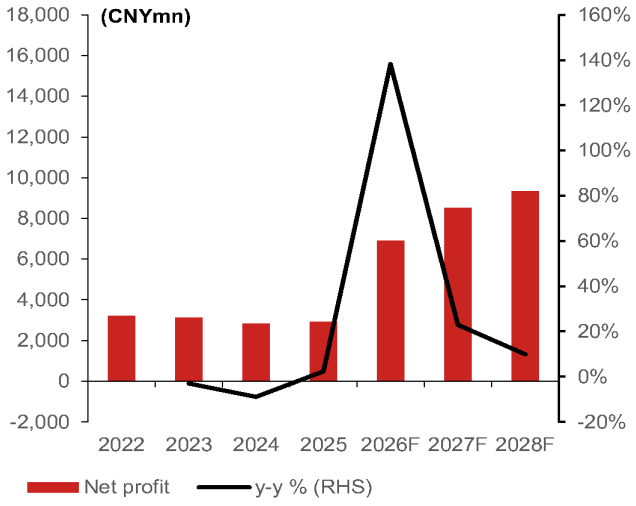
We expect ZTT to achieve gradual improvement in opex ratios from 8.0% in 2025 to 7.5% in 2026F and 7.1% in 2028F, supported by better economy of scale. We expect the company to record solid earnings growth of 138% y-y to CNY6.9bn in 2026F, followed by 23%/10% y-y growth in 2027/28F, with net margin expanding from 5.5% in 2025 to 10.8% in 2026F and 11.8% in 2028F.

Fig. 22: ZTT - opex ratio trend



Source: Company data, Nomura estimates

Fig. 23: ZTT - net profit trend



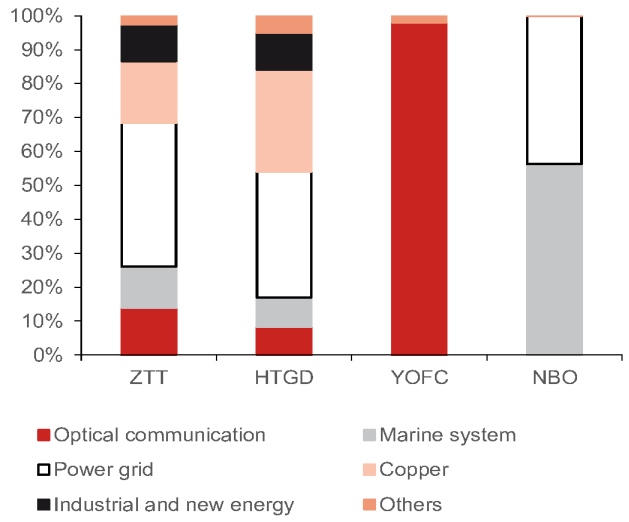
Source: Company data, Nomura estimates

Peer comparison

We compared ZTT to major optical fiber cable and submarine power cable suppliers, including Yangtze Optical Fiber and Cable (YOFC, 6869 HK, Buy), Hengtong Optic-Electric (HTGD, 600487 CH, Not rated) and Ningbo Orient Wires & Cables (NBO, 603606 CH, Buy). HTGD's business mix is similar to ZTT's, while YOFC provides a benchmark for the optical fiber sector and NBO for the marine system and power grid sector. In 2025, optical communications, marine system and power grid segments contributed 14%/12%/42% of total revenue for ZTT, compared to 8%/9%/37% for HTGD. Meanwhile, YOFC recorded 98% revenue contribution from the optical sector (including 59% from optical transmissions and 22% from optical interconnections) and the majority of NBO's

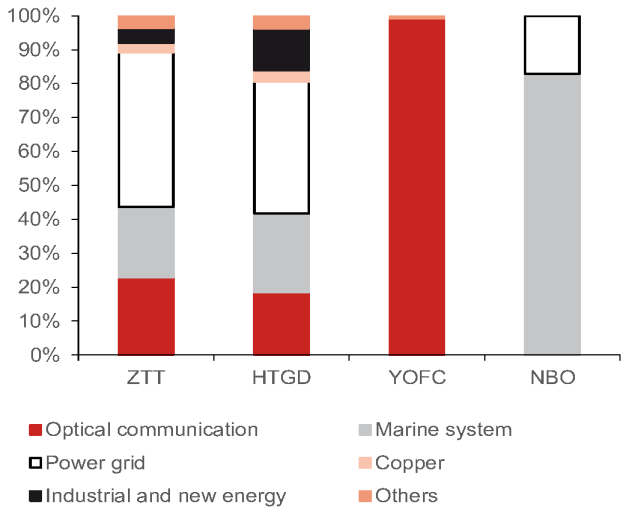
revenue was derived from the power grid and marine sectors.

Fig. 24: Peer comparison - revenue mix (2025)



Source: Company data, Nomura research

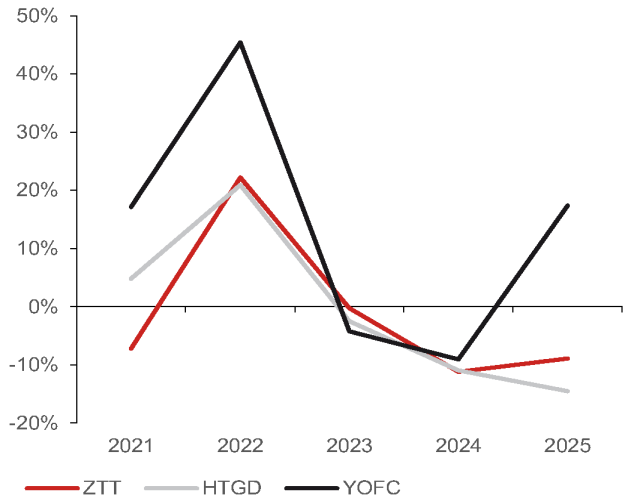
Fig. 25: Peer comparison - GP mix (2025)



Source: Company data, Nomura research

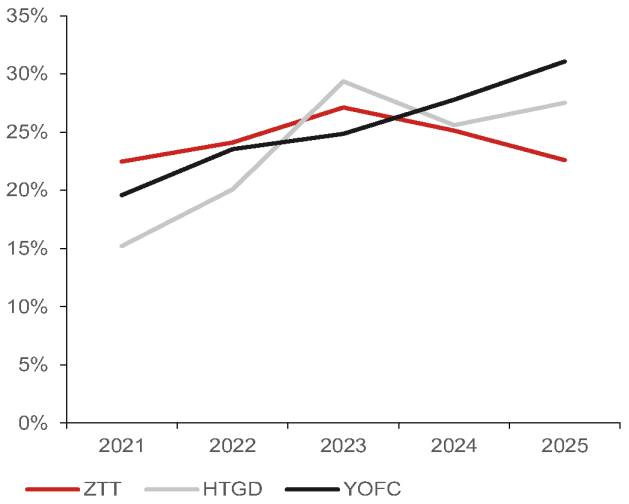
For the optical communications sector, YOFC continues to lead peers in revenue growth, with margin expansion over 2021-25 likely driven by its improving business mix with more sales from high-end data center products and the overseas market, as well as business verification in optical devices. ZTT's optical network revenue growth outperformed HTGD with a lower GPM in 2025, likely owing to higher wallet share in CM's cable tenders with a capped selling price.

Fig. 26: Peer comparison – optical communications segment revenue



Source: Company data, Nomura research

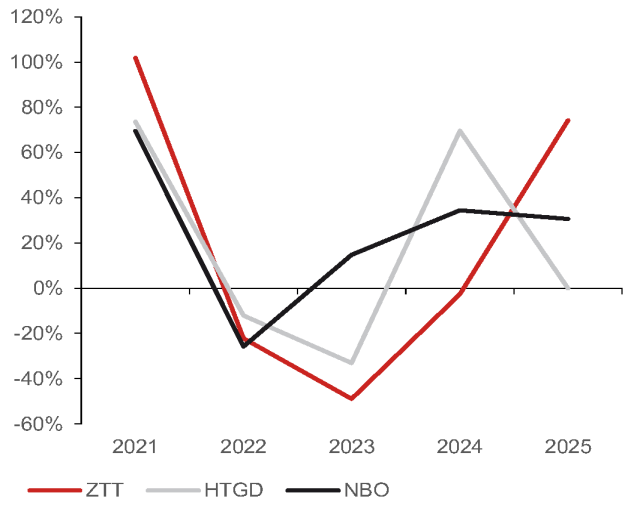
Fig. 27: Peer comparison - optical communications segment GPM



Source: Company data, Nomura research

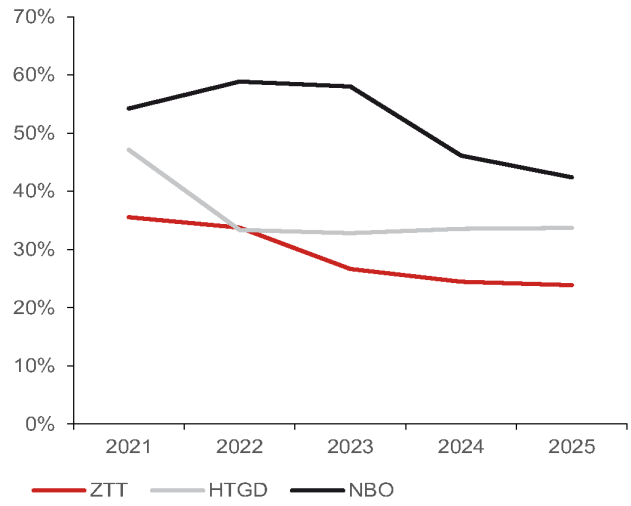
ZTT recorded 74% y-y growth in revenue from marine system in 2025, higher than NBO (+31% y-y) and HTGD (flat y-y), likely driven by resumed submarine cable delivery for key offshore wind projects. Meanwhile, the company's marine GPM was below peers, likely as a result of different revenue mix with more contribution from marine engineering business. For the power grid segment, ZTT lead the peers in terms of both revenue growth and margin profiles, which is likely attributed to more exposure to the overseas market and high-end transmission products, in our view.

Fig. 28: Peer comparison - marine system segment revenue



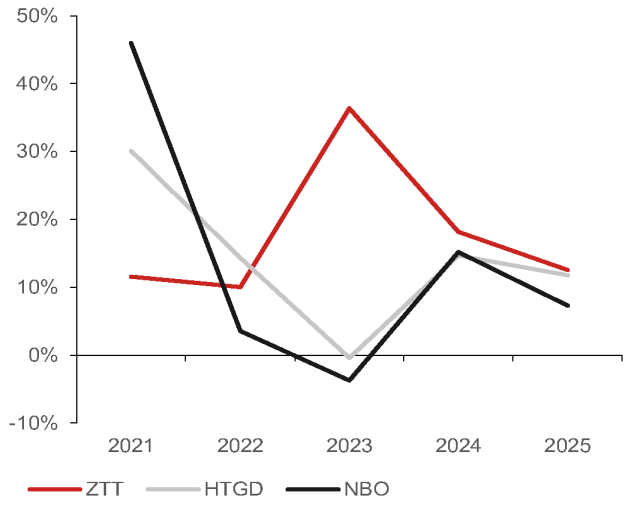
Source: Company data, Nomura research

Fig. 29: Peer comparison - marine system segment GPM



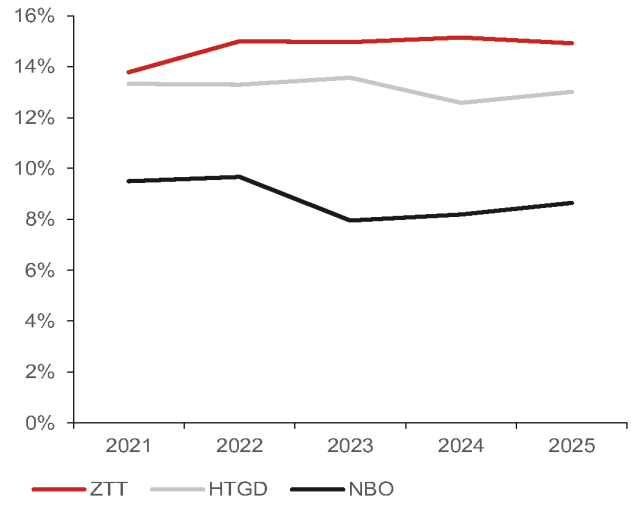
Source: Company data, Nomura research

Fig. 30: Peer comparison - power grid segment revenue



Source: Company data, Nomura research

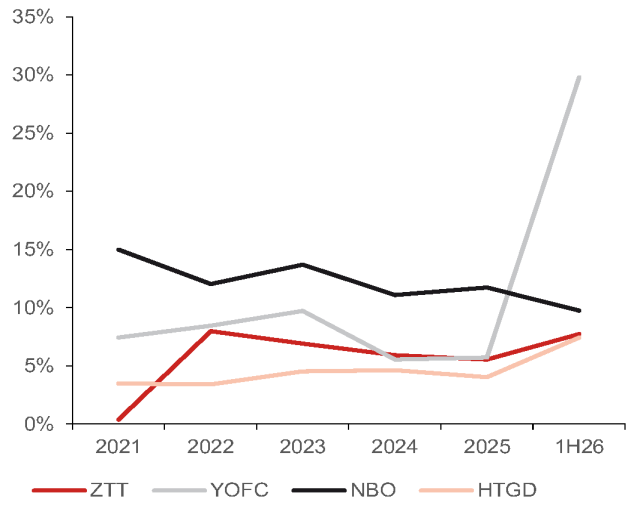
Fig. 31: Peer comparison - power grid segment GPM



Source: Company data, Nomura research

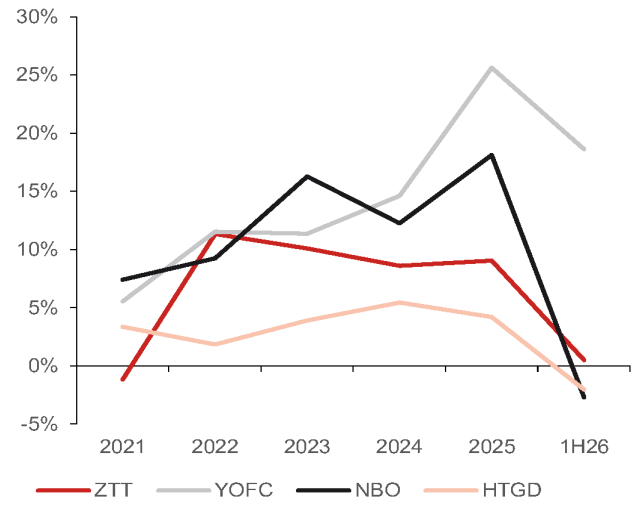
ZTT's net margin expanded to 7.7% in 1H26, similar to HTGD (7.4%) but still lower than YOFC (29.8%) and NBO (9.7%), which is mainly dragged by low-margin segments such as power grid and copper products, in our view. The company maintained a stable operating cash flow (OCF) trend at 9-11% of revenue during 2022-25, and we believe the lower OCF-to-revenue ratio for 1H26 was due to concentrated settlement for power grid and marine system projects in the second half. ZTT recorded the lowest capex-to-sales among peers in 2025 and 1H26, with the lowest financial leverage (net cash to equity of 36%).

Fig. 32: Peer comparison - net margin



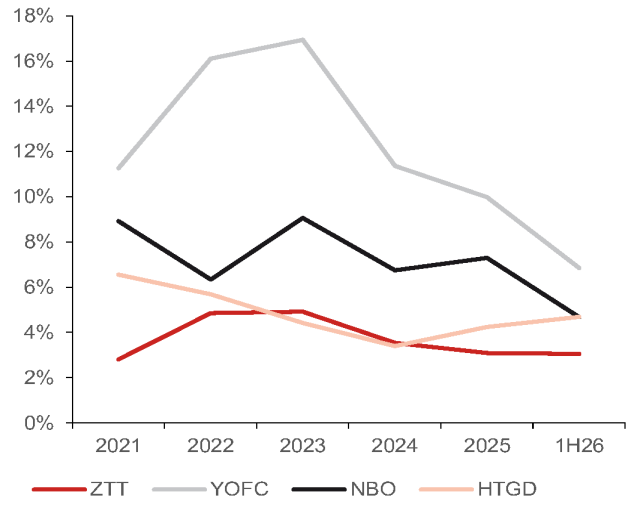
Source: Company data, Nomura research

Fig. 33: Peer comparison - OCF to revenue



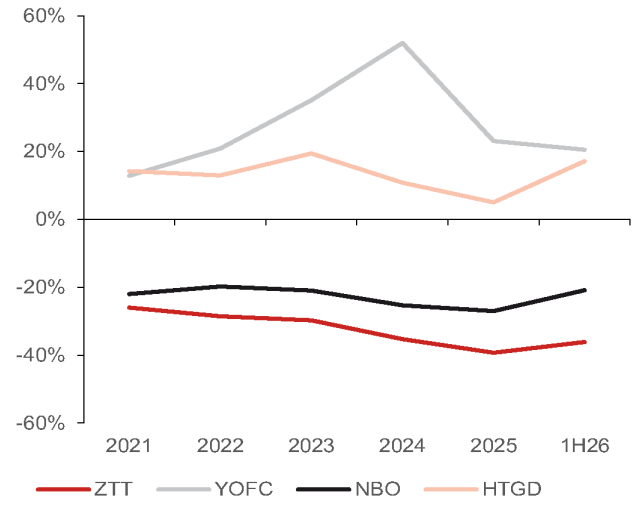
Source: Company data, Nomura research

Fig. 34: Peer comparison - capex to sales



Source: Company data, Nomura research

Fig. 35: Peer comparison - net debt to equity



Source: Company data, Nomura research

Earnings forecasts and valuation

We expect ZTT to record 22% y-y revenue growth in 2026F, which is mainly driven by solid improvement in optical communications revenue (+84% y-y), owing to increased optical fiber prices, followed by 14%/9% revenue growth in 2027/28F, driven by continued AI demands for optical fibers as well as resilient growth in the power grid and marine system business. We expect GPM to expand to 20.7% in 2026F from 13.9% in 2025 on price inflation for optical fibers, followed by continued improvement to 22.3% in 2027F on better revenue mix, and a slight contraction to 22.1% in 2028F. We forecast a 138% y-y earnings growth to CNY6.9bn in 2026F, followed by a 23%/10% growth in 2027/28F. Our earnings forecasts are in line with Bloomberg consensus.

Fig. 36: ZTT - summary of earnings forecasts

CNYmn	2021	2022	2023	2024	2025	2026F	2027F	2028F
	ACT	ACT	ACT	ACT	ACT	(NOM)	(NOM)	(NOM)
Revenue	46,163	40,271	45,065	48,055	52,500	63,973	72,888	79,487
% chg yoy	5%	-13%	12%	7%	9%	22%	14%	9%
COGS	(38,772)	(32,909)	(37,757)	(41,139)	(45,215)	(50,754)	(56,645)	(61,910)
Gross Profit	7,391	7,362	7,308	6,916	7,285	13,218	16,244	17,577
OPEX	(6,904)	(3,623)	(4,334)	(4,409)	(4,471)	(5,321)	(5,953)	(6,333)
Operating Income (adjusted)	487	3,739	2,974	2,506	2,813	7,897	10,291	11,244
% chg yoy	-83%	668%	-20%	-16%	12%	181%	30%	9%
Finance Expense	(435)	45	(2)	(13)	105	(160)	(133)	(76)
Other gains/expense	206	125	790	720	484	590	308	336
Pretax income	258	3,909	3,761	3,213	3,403	8,327	10,465	11,504
% chg yoy	-91%	1416%	-4%	-15%	6%	145%	26%	10%
Tax	24	(496)	(523)	(384)	(468)	(1,269)	(1,700)	(1,869)
Minority interests	(110)	(200)	(122)	9	(33)	(143)	(265)	(291)
Profit to shareholders	172	3,214	3,117	2,838	2,902	6,915	8,500	9,344
% chg yoy	-92%	1767%	-3%	-9%	2%	138%	23%	10%
EPS	0.05	0.94	0.91	0.83	0.85	2.03	2.49	2.74
Ratio Analysis								
GPM	16.0%	18.3%	16.2%	14.4%	13.9%	20.7%	22.3%	22.1%
OPEX	15.0%	9.0%	9.6%	9.2%	8.5%	8.3%	8.2%	8.0%
OPM	1.1%	9.3%	6.6%	5.2%	5.4%	12.3%	14.1%	14.1%
NPM	0.4%	8.0%	6.9%	5.9%	5.5%	10.8%	11.7%	11.8%
Revenue by segment								
Optical Communication	7,476	9,138	9,114	8,094	7,370	13,532	18,475	19,955
Power Grid	11,160	12,277	16,741	19,785	22,264	25,762	27,588	30,790
Marine System	9,419	7,323	3,740	3,644	6,349	7,865	8,639	9,032
New Energy	2,088	3,292	7,209	7,003	5,697	4,500	4,711	4,958
Copper Products	4,852	5,023	7,020	8,380	9,521	10,949	12,044	13,249
GP by segment								
Optical Communication	1,680	2,204	2,472	2,035	1,664	6,101	8,366	8,837
Power Grid	1,539	1,841	2,506	2,998	3,322	3,845	4,145	4,626
Marine System	3,349	2,473	997	891	1,513	2,346	2,620	2,785
New Energy	316	361	818	513	317	250	262	276
Copper Products	207	237	229	208	207	402	563	751
GPM by segment								
Optical Communication	22.5%	24.1%	27.1%	25.1%	22.6%	45.1%	45.3%	44.3%
Power Grid	13.8%	15.0%	15.0%	15.2%	14.9%	14.9%	15.0%	15.0%
Marine System	35.6%	33.8%	26.7%	24.4%	23.8%	29.8%	30.3%	30.8%
New Energy	15.1%	11.0%	11.3%	7.3%	5.6%	5.6%	5.6%	5.6%
Copper Products	4.3%	4.7%	3.3%	2.5%	2.2%	3.7%	4.7%	5.7%

Source: Company data, Nomura estimates

Fig. 37: ZTT - Nomura vs consensus

(CNY mn)	2025	2026F			2027F			2028F		
	Actual	(NOM)	(CON)	diff	(NOM)	(CON)	diff	(NOM)	(CON)	diff
Revenue	52,500	63,973	64,915	-1%	72,888	74,692	-2%	79,487	79,545	0%
Operating Profit	2,813	7,897	8,038	-2%	10,291	10,487	-2%	11,244	11,405	-1%
Pretax Profit	3,403	8,327	7,961	5%	10,465	9,859	6%	11,504	10,384	11%
Net Profit	2,902	6,915	6,924	0%	8,500	8,616	-1%	9,344	9,379	0%
EPS	0.85	2.03	2.03	0%	2.49	2.66	-6%	2.74	2.75	0%

Source: Bloomberg Finance L.P., Company data, Nomura estimates

We initiate coverage of ZTT at Buy with a TP of CNY40, based on a SOTP valuation. We allocate 18x 2027F P/E for ZTT's optical communications segment and 12x 2027F P/E for its energy network segment (including power grid, marine system and new energy), both

in line with the industry-average trading multiples. Our TP implies a blended 16x of FY27F EPS of CNY2.49.

Fig. 38: ZTT - SOTP valuation

CNYmn	2027F NP	Valuation	Stake	Attributable valuation	Note
Optical communications	5,570	100,254	100%	100,254	18x 2027F P/E
Energy network (power grid, marine and new energy)	2,992	35,900	100%	35,900	12x 2027F P/E
Target market cap				136,154	
Number of shares (mn)				3,413	
Target price (CNY)				**40**	

Source: Company data, Nomura estimates

ZTT is trading at a discount to major Chinese optical fiber players, which we think is attributed to: 1) its diversified business mix with approximately one-half of the company's profit contributed by the power and energy sector in 1H26; and 2) lower realized ASP for its optical fiber and cable business in 1H26 due to the contract delivery for telecom products with capped prices. We expect ZTT to see more meaningful margin improvement in 2H26F with additional exposure to the spot market price for optical fiber sales. In addition, we expect the marine system business to see re-rating opportunities with more contribution from high-voltage products and the overseas market.

Fig. 39: Peer valuation

Ticker	Company name	Nomura Rating	Price 7-Oct	Target Price	M/Caps USD mn	P/E(x) FY26F	P/E(x) FY27F	P/B(x) FY26F	P/B(x) FY27F	ROE FY26F	ROE FY27F	Share Price 1M	Share Price 3M	Share Price YTD	Share Price 12M
China optical fiber and cables															
600522 CH	Zhongtian Technology	Buy	31.13	40.00	15,842	15.4	12.4	2.5	2.2	17.3%	18.9%	-6%	-32%	68%	61%
6869 HK	YOFC - H	Buy	179.70	266.00	34,560	25.2	15.7	6.3	4.6	29.5%	33.8%	-2%	10%	224%	231%
601869 CH	YOFC - A	Not Rated	411.16	-	33,943	41.0	27.6	15.9	10.7	46.9%	46.3%	-5%	-4%	239%	291%
600487 CH	Hengtong Optic-Electric	Not Rated	54.86	-	20,176	18.1	13.6	3.5	2.8	21.1%	23.1%	-16%	-32%	113%	129%
600498 CH	FiberHome	Not Rated	35.70	-	7,230	31.3	23.3	2.6	2.4	8.5%	10.6%	-14%	-36%	8%	26%
600105 CH	Jiangsu Etern	Not Rated	36.26	-	7,905	42.0	20.2	13.1	9.3	35.0%	53.9%	-14%	-29%	34%	164%
Average						**28.8**	**18.8**	**7.3**	**5.3**	**26.4%**	**31.1%**				
China submarine cables and marine engineering															
600522 CH	Zhongtian Technology	Buy	31.13	40.00	15,842	15.4	12.4	2.5	2.2	17.3%	18.9%	-6%	-32%	68%	61%
600487 CH	Hengtong Optic-Electric	Not Rated	54.86	-	20,176	18.1	13.6	3.5	2.8	21.1%	23.1%	-16%	-32%	113%	129%
603606 CH	Ningbo Orient Wires & Cables	Buy	36.53	79.00	4,493	12.9	10.2	2.6	2.2	21.7%	23.5%	10%	-6%	-25%	-36%
002487 CH	Dajin Heavy Industry	Not Rated	46.29	-	5,556	21.4	14.9	2.7	2.3	14.3%	16.6%	47%	4%	-6%	3%
Average						**16.9**	**12.8**	**2.8**	**2.4**	**18.6%**	**20.5%**				
China MPO															
300394 CH	Suzhou TFC	Buy	260.77	282.00	42,415	73.2	46.3	31.6	19.8	53.5%	52.6%	-9%	-4%	62%	96%
300570 CH	T&S Communications	Buy	212.35	231.50	7,192	89.3	53.2	21.5	15.3	27.3%	33.6%	-1%	-3%	72%	89%
300548 CH	EverProX	Not Rated	219.83	-	9,663	77.1	42.9	24.6	16.7	36.4%	46.3%	-10%	-14%	34%	79%
Average						**79.9**	**47.5**	**25.9**	**17.3**	**39.1%**	**44.1%**				
Global wires and cables															
GLW US	Corning	Not Rated	163.25	-	140,622	49.7	37.5	10.5	9.3	21.8%	26.3%	-2%	-11%	86%	87%
5803 JP	Fujikura	Buy	5,700	6,700	64,029	27.4	24.8	11.8	10.2	50.6%	44.0%	8%	14%	90%	107%
5801 JP	Furukawa	Buy	4,444	5,350	19,872	25.8	20.8	6.0	4.8	25.8%	25.6%	15%	19%	322%	335%
SOTL IN	Sterlite Technologies	Buy	1,017	1,350	5,399	47.6	30.8	10.8	8.0	30.4%	29.8%	19%	86%	854%	735%
PRY IM	Prysmian	Not Rated	124.30	-	42,972	26.3	20.4	4.7	3.9	19.1%	20.8%	-5%	-8%	41%	34%
NEX FP	Nexans	Not Rated	127.40	-	6,238	17.8	13.9	2.5	2.3	14.9%	17.3%	-11%	-4%	0%	-3%
Average						**32.4**	**24.7**	**7.7**	**6.4**	**27.1%**	**27.3%**				

Note: Bloomberg consensus estimates are used for not-rated stocks. Closing prices as of market close on 7 October.
Source: Company data, Bloomberg Finance L.P., Nomura estimates

Appendix

Jiangsu Zhongtian Technology (ZTT) is an integrated manufacturer and solution provider of communication and energy infrastructures. ZTT's product portfolio covers optical communication networks (i.e., optical preforms, fibers, cables, and interconnect products), marine systems (i.e., submarine power cables and engineering services), power grid transmission equipment, and selected new energy products. The company's predecessor was established in 1976 and reorganised as Jiangsu Zhongtian Optical Cable Group Co Ltd in 1996, followed by a joint-stock company conversion in 1999 and listed on the Shanghai Stock Exchange in October 2002.

ZTT recorded total revenue of CNY52.5bn in FY25. The power grid segment contributed 42% of total revenue in FY25, followed by copper products (18%), optical communications (14%), marine system (12%) and new energy (11%). In 1H26, ZTT reported revenue of CNY30.9bn, up 31.1% y-y, and net profit of CNY2.39bn, up 52.3% y-y. As of 31 July 2026, the company accumulated total order backlog of approximately CNY33.0bn for its energy network business, including CNY11.3bn for marine systems, CNY16.2bn for power grid and CNY2.5bn for new energy.

Fig. 40: ZTT - company history

Year	Milestone
1976	The company's predecessor, Rudong Hekou Brick and Tile Factory, was established as a township collective enterprise
1992	Began the transition into communication industry through the establishment of Nantong Zhongnan Special Cable Factory
1995	Developed its first waterline optical cable for use in the Yangtze River, an early step towards marine applications
1996	Reorganised as Jiangsu Zhongtian Optical Cable Group Co Ltd
1997	Exited building materials and focused operations on optical fiber and cable, electric wire and cable, and related components
1999	Converted into Jiangsu Zhongtian Optical Cable Co Ltd; entered marine systems industry and developed submarine optical cable
2000	Renamed as Jiangsu Zhongtian Technology Co Ltd; entered power-grid transmission industry through optical ground wire and related products
2002	Listed on the Shanghai Stock Exchange
2004	Established ZTT Submarine Cable, strengthening the marine-product platform
2011	Entered new energy industry and completed a CNY1.68bn follow-on offering to fund optical-preform and equipment-cable projects
2012–2013	Established production facilities in India and Brazil
2015	Acquired three affiliate companies covering broadband technology, power fittings and alloy materials through a share issuance and raised CNY0.6bn of supporting funds
2017	Raised CNY4.38bn through a private placement to fund lithium-battery, submarine-cable, special-fiber and advanced-material projects
2018–2019	Expanded its overseas manufacturing footprint in Indonesia, Morocco, Turkey and Germany
2020	Delivered China's first domestically produced +/-400kV flexible-DC submarine cable
2026	Delivered the first phase of +/- 500kV flexible-DC submarine cable for Guangdong Yangjiang Sanshan Island offshore wind project

Source: Company data, Nomura research

Fig. 41: ZTT - management profiles

Name	Chinese name	Position	Biography
Mr. Xue Chi	薛驰	Chairman	Mr. Xue holds an MBA degree and is a senior engineer and senior economist. He served as chairman and general manager of ZTT Submarine Cable from November 2005 to February 2009, general manager of ZTT Optical fiber from February 2009 to February 2013, director and deputy general manager of ZTT from 2009 to 2019, and vice chairman from June 2019 to June 2025. He has served as chairman since June 2025.
Mr. Shen Yichun	沈一春	Vice Chairman	Mr. Shen holds a PhD in engineering and joined ZTT in July 2005. He previously served as deputy general manager and general manager of ZTT Optical fiber and general manager of ZTT Precision Materials. He was a director from June 2019 to June 2025 and has served as vice chairman since June 2025.
Mr. Lu Wei	陆伟	General Manager	Mr. Lu joined ZTT in 2001 and previously worked in quality assurance, optical cable, aluminium conductor and the power grid division. He served as general manager from July 2013 to June 2019 and as director and general manager from June 2019 to April 2026.
Mr. Miao Yonghua	缪永华	Director, President of New Energy Industry Group	Mr. Miao joined ZTT in August 2003. He previously worked in communications sales and served as deputy general manager and general manager of ZTT Energy Storage. He has led the New Energy Industry Group since December 2020.
Mr. Liu Zhizhong	刘志忠	Deputy General Manager; Executive President of Communications Industry Group	Mr. Liu joined ZTT in July 2001 and currently leads the Communications Industry Group. He served as employee supervisor from June 2020 to June 2025 and has served as deputy general manager since June 2025.
Mr. Feng Aijun	冯爱军	Deputy General Manager; Vice President of Power Industry Group	Mr. Feng joined ZTT in 1997. He previously served as general manager of Shanghai ZTT Aluminium Wire and Jiangsu ZTT Transformer. He has served as vice president of the Power Industry Group since 2024 and deputy general manager since June 2025.
Ms. Liu Lijun	刘丽君	Deputy General Manager; Vice President of New Energy Industry Group	Ms. Liu joined ZTT in 2008 and previously held engineering and management roles at Jiangdong Fittings and ZTT's human-resources department. She has served as deputy general manager since June 2025 and vice president of the New Energy Industry Group since October 2025.
Mr. Gao Hongshi	高洪时	Chief Financial Officer	Mr. Gao joined ZTT in April 2002 and previously served as finance manager of ZTT Optical fiber and deputy chief financial officer of the company. He has served as chief financial officer since March 2011.
Mr. Hu Zimu	胡梓木	Board Secretary	Mr. Hu holds a postgraduate degree and is a Hong Kong Certified Public Accountant. He joined ZTT in 2020 and served as securities representative from April 2021 to May 2026. He was appointed board secretary in May 2026.

Source: Company data, Nomura research

Appendix A-1

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Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Zhongtian Technology	600522 CH	CNY 30.49	08-Oct-2026	Buy	N/A	

Zhongtian Technology (600522 CH) **CNY 30.49 (08-Oct-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of CNY40.00 is based on a SOTP valuation, assuming 18x 2027F P/E for optical communications segment and 12x 2027F P/E for energy network segment (power grid, marine system and new energy). Our TP implies a 16x FY27F EPS of CNY2.49, which is in line with the company's earnings CAGR of 16% over 2026-28F. The benchmark index is CSI300.
Risks that may impede the achievement of the target price Downside risks include: (1) lower-than-expected optical fiber prices; (2) slower-than-expected data center demands or delivery of MPO products; (3) delays in submarine cable project delivery; and (4) slower-than-expected growth in power grid investment.

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